

KALE REALTY

THIS NUMBER HASN'T MOVED SINCE 1997.

Your seller's tax-free profit on a home sale is still capped at what it was almost thirty years ago.

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NOBODY ADJUSTED IT FOR THE MARKET.

A seller can exclude \$250,000 in home-sale profit from capital gains tax if single, \$500,000 if married filing jointly. Those numbers were set in 1997 and never indexed for inflation.

A LONG-HELD HOME CAN OUTRUN THE EXCLUSION.

Section 121 of the tax code lets a seller exclude up to \$250,000 of gain single, \$500,000 married, on a primary residence owned and lived in for two of the last five years. In 1997 that number covered almost any home sale. After years of appreciation, a seller who bought decades ago and stayed put can clear the exclusion and owe capital gains tax on the rest, and most sellers find out at the closing table instead of before they list.

BEFORE YOU PRICE A LONG-HELD LISTING:

- 1 Ask how long they've owned it, not just how long they've lived there.**

The exclusion needs two of the last five years as a primary residence to apply at all.
- 2 Run the math before the listing appointment.**

Purchase price plus documented improvements, subtracted from the expected sale price, tells you if they're anywhere near \$250,000 or \$500,000 in gain.
- 3 Flag it to a CPA early, not at closing.**

This is a tax conversation, not a listing-price conversation, and a seller needs the runway to plan for it.
- 4 Say the number out loud in the listing appointment.**

"Your exclusion caps at \$250,000 single, \$500,000 married, and it hasn't changed since 1997" tells a seller something their last three agents didn't.

THE TAKEAWAY

KNOW THE NUMBER **BEFORE** **THEY DO.**

\$250,000 single, \$500,000 married, unchanged since 1997. Say it before the closing table does.